



PHOTO BY RACHIT GOSWAMI

CHANGE MAKER S.N. Subrahmanyam,
CEO & MD, Larsen & Toubro

Key Highlights

- ❶ Subrahmanyam is overseeing the exit of L&T from some non-core businesses, and getting on to newer lines of business. The order book, at ₹3.5 lakh-plus crore, is robust
- ❷ Solar EPC is becoming big, with L&T now bagging GW-scale orders compared to MW ones earlier
- ❸ It is exiting from electricals, hydel power, Hyderabad Metro, BOT and BOOT infrastructure projects
- ❹ Services' share in consolidated revenue was 28% in FY21, and is rising, especially after the Mindtree buy
- ❺ Standalone net profit margins have risen from 7.22% in FY18 when Subrahmanyam took charge, to 15.46% in FY21

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of services (IT plus financial) of consolidated revenue is now at 28 per cent, margins are beefier than the core business, and it's growing fast. The 2019 acquisition of mid-sized IT firm Mindtree has significantly boosted its IT presence, where it also has two other companies—L&T Infotech and L&T Technology Services.

Second, he is shaking off some businesses that are not working for the organisation any more. It is moving out of BOT (build-operate-transfer) and BOOT (build-own-operate-transfer) projects. At one time, its infrastructure projects subsidiary—L&T IDPL—had 21 road projects, an airport, a water line, etc.—today it has 11 roads and one transmission line project, and it is moving out of these, too. The company is actively looking to exit Hyderabad Metro—ridership was affected due to Covid-19, sending the company into losses. “IDPL and Hyderabad Metro carry forward almost ₹2,000 crore of losses. When that moves away, the overall PAT goes up substantially,” points out Subrahmanyam. Further, it has sold its electricals business to Schneider Electric, and also a 99-MW hydropower plant to ReNew Power.

On the other hand, solar EPC, which was tiny earlier (it would do 25-MW, 50-MW projects), is now bagging GW-scale orders, and infrastructure and hydrocarbon businesses continue to grow. “They have sold low-margin or non-profitable businesses where they don't have the expertise. Even in their step-down subsidiaries, they are making a lot of changes. They want to be in core businesses, and they are selling off non-core businesses. That is a good thing to happen,” says Prabhakar of IDBI Capital.

Continuing the services play, L&T is getting into data centres in a big way, in partnership with Microsoft India, to store data for government and public sector organisations. But there's a twist. Here L&T won't just build data centres for other enterprises, which is its primary business model for other parts of the organisation. “We will run the data centres, and also run SaaS and PaaS applications, including data centre connectivity and so on,” says Subrahmanyam.

Tech that. **BT**

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